FROM THE
EDITOR-IN-CHIEF

Forty-seven years ago, we carried a cover story titled 'Rule of the Babus', highlighting the fact that the single biggest obstacle to India realising its full economic potential is not the absence of capital, nor the shortage of talent, nor the size of the market. It is the state's chronic inability to trust its citizens. I had written then: "Perhaps, the time has come, if the government is to be made more responsive, for the public at large to begin to question and evaluate, if only to protect itself against the mindless proliferation of government control over its life." The moment came 12 years later, in 1991, with the dismantling of the Licence Raj under the Narasimha Rao government. It was the first step in making India less hostile to free enterprise, but it was homeopathy, not surgery. It was like letting someone out of prison but with the shackles still on. The same instinct for control expressed itself through different instruments. Permits, codes, bylaws, compliance filings, criminal clauses buried in acts that nobody reads till an inspector arrives at your door. It's not just major corporations that are spooked by this thicket of regulatory norms but the 74.7 million Micro, Small and Medium Enterprises (MSMEs), which contribute 35 per cent of India's manufacturing output and employ 62 per cent of the non-farm workforce. A humble MSME can face 1,400+ compliances annually. That is not regulation but harassment given official sanction. In April 2025, our cover story, 'Ending the Red Tape', had reported on Prime Minister Narendra Modi's initial reformative steps on this front. This week, we look at the accelerated drive he is giving to this reform by deploying an elite corps of top bureaucrats to create "a modern, flexible, people-friendly and trust-based regulatory framework appropriate for the 21st century".



▲ April 28, 2025

The baseline assumption of the Indian state, for most of its existence, has been that the citizen is a potential transgressor and the government's job is to patrol the transgression and punish the violator. Result: a regulatory shroud that suffocated the entrepreneurial spirit. Clearly, we needed a sea change in attitudes in times of weak foreign inflows and flight of Indian capital. Steering the change is a High-Level Committee on Non-Financial Regulatory Reforms (HLC-NFRR) headed by former cabinet secretary Rajiv Gauba. Set up in August 2025, it works on a whole-of-government logic, and also brings in prominent industry faces. Its 11 working groups were given one year, with monthly reviews. So, ideas are being implemented on the go: 20-30 per cent of the deep cleaning is done, another 30 per cent is in the works, and 40 per cent is still pending. A task force led by cabinet secretary T.V. Somanathan ensures the ethos is not confined to New Delhi, which historically has been the graveyard of good intentions, but travels to the states, where businesses encounter the most difficult end of the compliance nightmare.

The HLC's philosophy dovetailed right into the process of decriminalising petty offences that had started with the Jan Vishwas Bill, 2023. Its back-end work has now yielded a significantly expanded bill, passed in April 2026, which amends 79 central acts across 23 ministries. As many as 717 provisions that invited a prison term were dropped outright. Even a warning clause came in for first-time offenders. People often don't realise how absurdly overwrought the system was: a shop licence not displayed correctly, a missed filing, a false entry, all these could land an entrepreneur in jail. Such offences make up 15 per cent of our court cases. Yet officials clung on to them even in the face of data that showed they served no useful purpose. This attitude is what the reformers had to surmount as they diluted, rationalised or dropped penal clauses for an array of minor offences.

The Quality Control Order (QCO) regime is equally revealing in its own way. Originally designed as a legitimate shield against the dumping of low-quality foreign goods, QCOs had mutated into a different kind of distortion. Their coverage had expanded from fewer than 70 products in 2016 to nearly 790 by 2025. The clauses also began hitting upstream inputs. Small export-oriented textile units found themselves forced to buy domestic raw materials at 10-30 per cent higher prices than their competitors in Vietnam and Bangladesh who could source freely from global suppliers. Not surprisingly, the larger players were pro-QCO. A review traced part of a fall in India's exports of a class of apparel to the cost disadvantage created by QCOs. Like an autoimmune disorder, a protective tool had morphed into a self-defeating weapon. Altogether, some 208 QCOs were found to be disrupting supply chains and growth; 116 have been rescinded, deferred or suspended, others are under review.

It is heartening to see the HLC attempting something closer to surgery, unlike previous efforts that I described as homeopathy. It is granular, time-bound, implemented rather than merely recommended and driven by the recognition that India cannot keep asking the world to invest here while making it extraordinarily difficult to operate here. Getting down into the weeds and fixing the nitty-gritty may not seem like heroic governance. But the Great Unshackling, if carried through with the vigour shown so far, could yet prove to be the most enduring achievement of PM Modi's historic third term. The moment the Indian state learns to trust its people, the economy will respond in ways no single policy announcement ever could.

Group Editorial Director Raj Chengappa's cover story this week takes you inside this reform process as it unfolds. It is a story about changing governance that is less dramatic than a border conflict and less visible than a budget. But its consequences, if the momentum holds, will outlast both and put the Indian economy into a dream trajectory.

(Aroon Purie)